

Let us understand a major check-mark before investing in any company:

Do we expect a company's product and services to be relevant for 5-7 years from now ?

- Britannia's biscuits have been relevant for the last 100 years. It is expected that these biscuits shall be relevant for the next 8 to 10 years.
- We are skeptical that petrol cars will remain relevant in the future as they face stiff competition from electric vehicles. Since this is a relatively riskier option, we might be more cautious here.
- The company's product and service should remain relevant for the next 7 to 8 years, providing us with longevity, i.e. a favorable long-term outlook.

Consider digital payment companies such as Paytm and Mobikwik.



Current changes and trends benefit the company

These platforms will benefit significantly from the current trend and changes in the market. In other words, the long-term prospects of these companies are favorable.

You believe that a company has advantages over competitors

A good company generally witnesses entrants who try to imitate their products and earn profits.

For instance: We can often find biscuits with tastes or appearances that are similar to the products of Britannia and Parle G. However, these products do not have a brand name or recognition. **Britannia and Parle G will always have an advantage over such copy-cats.**

Britannia has nearly 4 million distributors to get its biscuits to every small town and big city in India and its supply chain ensures a consistent supply. As a result, the distribution network established is advantageous to the company as the new entrants or even existing ones will not have such large distribution networks.